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Microsoft

First Quarter Fiscal Year 2026 Outlook

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FY26 Q1 Outlook

Foreign currency impact	• Increase to total revenue growth of 2 points, with roughly 3 points in Productivity and Business Processes, and roughly 1 point in Intelligent Cloud and More Personal Computing • Increase to COGS growth and Opex growth of roughly 1 point
Productivity and Business Processes	• Revenue of $32.2 to $32.5 billion
Intelligent Cloud	• Revenue of $30.1 to $30.4 billion
More Personal Computing	• Revenue of $12.4 to $12.9 billion
Cost of revenue	• COGS of $24.3 to $24.5 billion
Operating expenses	• Expenses of $15.7 to $15.8 billion
Other income and expense	• Expected to be roughly $(1.3) billion
Effective tax rate	• Between 19% and 20%

FY26 Q1 Outlook Detail

Commercial Business	
Commercial bookings	Healthy growth on a growing expiry base
Microsoft Cloud gross margin percentage	Roughly 67%
Productivity and Business Processes	
Microsoft 365 Commercial cloud revenue	Growth of 13% to 14% in constant currency
Microsoft 365 Commercial products revenue	Growth in mid- to high-single digits
Microsoft 365 Consumer cloud revenue	Growth in low-twenties
LinkedIn revenue	Growth in high-single digits
Dynamics 365 revenue	Growth in high-teens
Intelligent Cloud	
Azure and other cloud services revenue	Growth of approximately 37% in constant currency
Server products revenue	Decline in low- to mid-single digits
More Personal Computing	
Windows OEM and Devices revenue	Decline in mid- to high-single digits
Search and news advertising revenue (ex TAC)	Growth in low- to mid-teens
Gaming revenue	Decline in mid- to high-single digits
Xbox content and services revenue	Decline in mid-single digits

FY26 Full Year Outlook

Foreign currency impact	• Increase to total revenue growth of approximately 2 points • Increase to COGS growth of approximately 2 points and an increase to Opex growth of 1 point
Revenue	• Total revenue expected to grow double-digits
Capital expenditures	• Expect FY26 capital expenditures growth to moderate compared to FY25 with a greater mix of short-lived assets
Operating income	• Operating income expected to grow double-digits • Operating margins expected to be relatively unchanged year-over-year
Effective tax rate	• Between 19% and 20%



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